

Basic Income and Job Guarantee: Two field experiments

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New social safety nets

- Ideas for new social safety nets are generating much debate.
- Two leading contenders:
 - (Universal) basic income.
 - Job guarantee.
- Much variation in
 1. policy details, and
 2. motivating arguments.
- This talk: Evaluation of two pilot programs in Austria, Germany.

Disclaimer: We received no payment for any of these evaluations, and will publish our findings independently from the implementation partners.

Two pilot programs

- **Job guarantee Marienthal**, Austria, 2020-2024

Kasy, M. and Lehner, L. (2025). Employing the unemployed of Marienthal: Evaluation of a guaranteed job program. Working Paper.

- **Pilotprojekt Grundeinkommen**, Germany, 2021-2025

Bernhard, S., Bohmann, S., Fiedler, S., Kasy, M., Schupp, J., and Schwerter, F. (2025). Basic income and labor supply: Evidence from an RCT in Germany. Working Paper.

Bohmann, S., Fiedler, S., Kasy, M., Schupp, J., and Schwerter, F. (2025). Cash transfers, mental health, and agency: Evidence from an RCT in Germany. Working Paper.

Possible advantages I

Both job guarantee and basic income:

- **Unconditional outside options.**
 - Improving the bargaining position of those worst off,
 - in employment, bureaucracies, and (romantic) relationships.
- **Covering uncovered populations.**
 - Dropping conditionalities (e.g. past employment),
 - diminishing problems of incomplete benefit takeup.
- **Automatic stabilizers.**
 - Smoothing business cycles by stabilizing disposable income.

Possible advantages II

- Job guarantee:
 - Work as a source of **meaning**.
 - Benefits of **social interactions** in the workplace (and beyond).
 - Social **respect**.
- Basic income:
 - Respecting individual **autonomy**.
 - Avoiding the **distortions** (deadweight loss') of forcing people into wage labor.
 - Avoiding the **bureaucratic overhead** of welfare surveillance.

⇒ Basic income and job guarantee as **complementary** components of a future safety net?

Possible disadvantages

- Job guarantee:
 - **Spillovers**, crowding out of market employment.
 - **Forced work** – if participation is not voluntary.
 - Meaningless activities.
- Basic income:
 - **Reduced labor supply** reducing tax base.
 - **Increased labor supply** depressing wages.

Introduction

Two pilot experiments

Theory: Job search

Empirical findings

Conclusion

The Marienthal job guarantee pilot

- Started October 2020, Gramatneusiedl.
- All longterm unemployed (> 9 months at baseline) were eligible.
- Preparatory training for up to 8 weeks.
- Jobs were individually tailored. Options included:
 - Jobs in a newly founded social enterprise (childcare, gardening, renovation, carpentry).
 - Some of these: Projects created by participants themselves.
 - Subsidized jobs in the regular labor market.

The Marienthal job guarantee pilot

1. **Voluntary participation.**

- No sanctions for declining a job offer.

2. **Collectively bargained wage.**

- 1.500 Euro/month for full-time.

3. **Meaningful employment**

- Taking into account personal constraints.

Study design: Three approaches

1. **Pairwise random assignment** and staggered roll-out.

- Pairwise matching minimizes sum of distances within pairs.
- Random assignment, within pairs, to one of two waves.

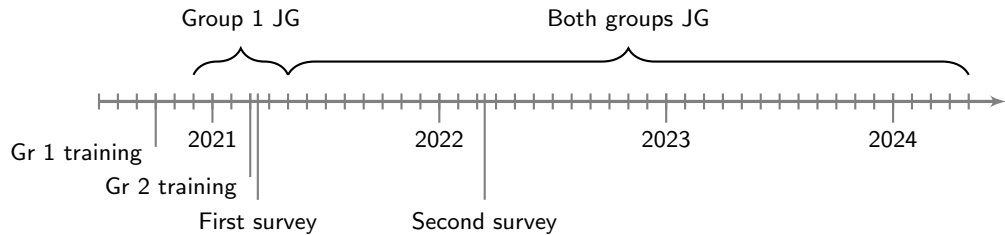
2. **Synthetic control** comparison.

- Pre-registered.
- Municipalities in lower Austria
- Using baseline covariates and unemployment 2011-2020.

3. Observational **individual-level comparison**.

- Long term unemployed individuals in control municipalities.
- Controlling for individual observables.

Timeline



The German basic income pilot

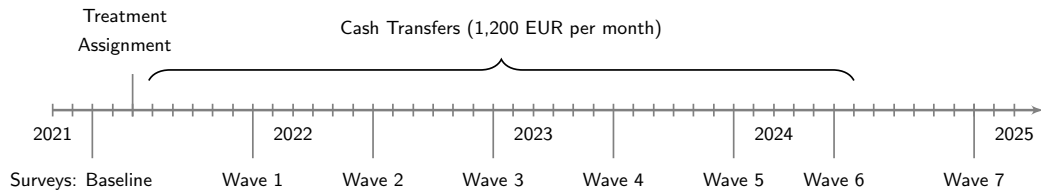
- NGO *Mein Grundeinkommen*.
- Started June 2021, across Germany.
- Monthly payment of 1200 Euro, for 3 years, to 107 participants.
- Participation restrictions:
 - German residents between 21 and 40 years
 - living in single households,
 - not receiving social benefits for long term unemployment.
- Comprehensive baseline survey.

Study design

Blocked random assignment:

- 8971 eligible study participants, 28 variables from baseline survey.
- Partition set of eligible participants into homogenous blocks of size 32.
- Budget allowed for using 53 blocks.
 - Sample blocks to match the demographic distribution of baseline.
- Within each block, randomly assign 2 units to treatment.

Timeline



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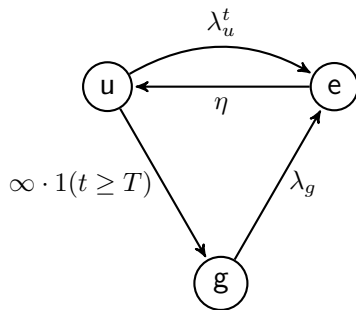
Conclusion

A partial equilibrium search models

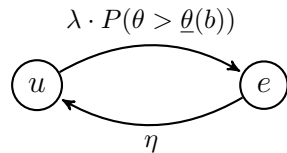
- Workers might be in
 - unemployment (u),
 - market employment (e), or
 - a guaranteed job (g).
- Jobs might have:
 - heterogeneous productivity θ ,
 - endogenous amenities a and wages w .
- Workers might:
 - choose search effort,
 - decide to reject a job offer,
 - negotiate over allocation of match surplus.

Flows between states

Job guarantee



Basic income



Anticipating guaranteed jobs

- Guaranteed jobs become available at 9 months of unemployment.
- Suppose the utility of guaranteed employment exceeds that of a market job.
- Then the standard model makes testable predictions:
 - Search effort declines over time,
 - Hazard rates λ_g out of unemployment are reduced *and* declining.
- Empirically: None of that happens.

Job amenities and income effects

- Standard search models: No income effects.
⇒ No effect of unconditional basic income on the labor market.
- Our variation: Flow utility non-separable in income and job amenities.
- Key finding: With income effects, basic income might
 - improve or worsen workers' bargaining position,
 - reduce or increase search time and match quality,
 - shift surplus between wages and non-wage job amenities.

⇒ empirical questions.

Welfare effect of basic income

- Sufficient statistics approach in public finance (Chetty 2009, Kleven 2021):
 - Welfare impact of a change in transfers
 - equals the direct mechanical impact.
 - Behavioral responses are ignorable by the envelope theorem (Milgrom and Segal, 2002).
- This is *wrong* in our model with search frictions, amenities, and bargaining.
 - Bargaining over allocation of match surplus!
- Estimates of the welfare impact of basic income need to take into account its impact on
 - wages,
 - job amenities.

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Empirical findings: Job guarantee

1. Individual level, experimental:

- Positive impact on economic wellbeing (employment, income, security),
- and work-related benefits (status, time structure, social interactions).
- No effect on physical health, or risk- and time-preferences.

2. Municipality level:

- Large reduction of long-term unemployment.
- A small increase of short-term unemployment.
- On net, a clear reduction of unemployment.

3. Individual level, across towns:

- Similar estimates to experimental comparison.
- Some positive anticipation effects for status and social inclusion.

Causal interpretation of findings

$$Y_i = g(D_i, D_i^{+1}, \bar{D}, \epsilon_i).$$

- Y_i : Outcome for individual i .
- D_i : Current eligibility for the job guarantee.
→ **Direct treatment effects**.
- D_i^{+1} : Future eligibility.
→ **Anticipation effects**.
- $\bar{D}$: Share of long-term unemployed in the municipality currently eligible.
→ **Spillover effects**.
- ϵ_i : Unobserved individual characteristics.
- L_i : Indicator for unemployment > 9 months as of September 2020.

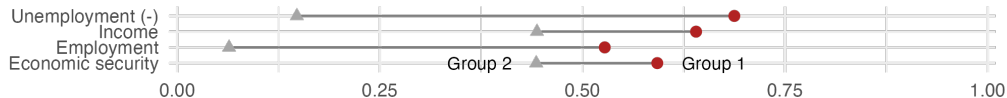
Identifying contrasts

Contrast	Identified effect	Interpretation
February 2021		
Group 1 vs. Group 2	$E[g(1, 1, \frac{1}{2}, \epsilon_i) - g(0, 1, \frac{1}{2}, \epsilon_i) L_i = 1]$	Average direct effect on the treated
Group 2 vs. control town	$E[g(0, 1, \frac{1}{2}, \epsilon_i) - g(0, 0, 0, \epsilon_i) L_i = 1]$	Average anticipation effect on the treated
After April 2021		
Group 1 & 2 vs. control town	$E[g(1, 1, 1, \epsilon_i) - g(0, 0, 0, \epsilon_i) L_i = 1]$	Average total effect on the treated
Gramatneusiedl vs. synth (short-term unemp)	$E[g(0, 0, 1, \epsilon_i) - g(0, 0, 0, \epsilon_i) L_i = 0]$	Average spillover effect on the untreated
Gramatneusiedl vs. synth (total unemp)	$E[g(L_i, L_i, 1, \epsilon_i) - g(0, 0, 0, \epsilon_i)]$	Average total effect

Experimental comparison

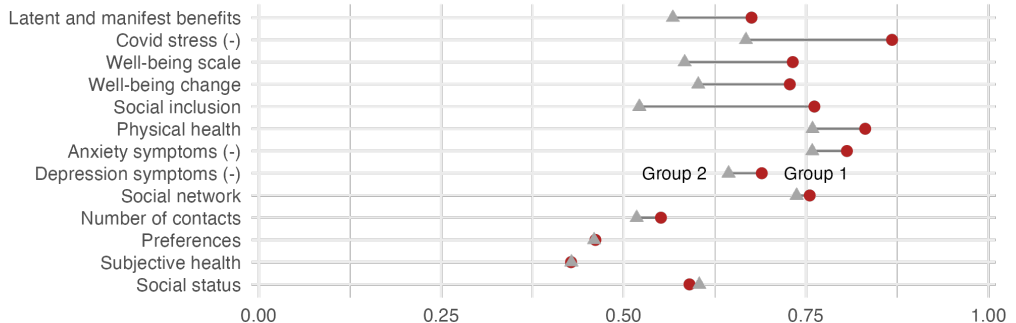
Economic outcomes

Average outcomes for **Group 1** (treated), and **Group 2** (control).



Other outcomes

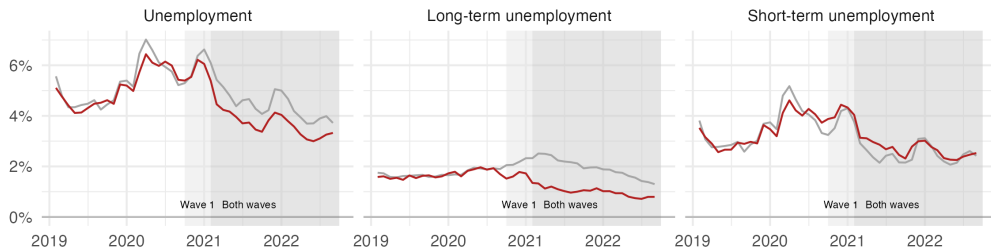
Average outcomes for **Group 1** (treated), and **Group 2** (control).



Municipality comparison

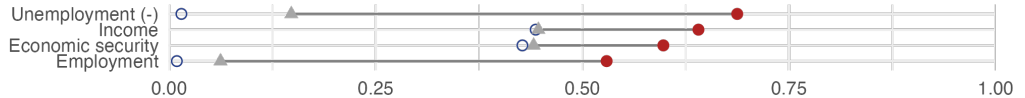
Outcome levels

Gramatneusiedl, and synthetic control.



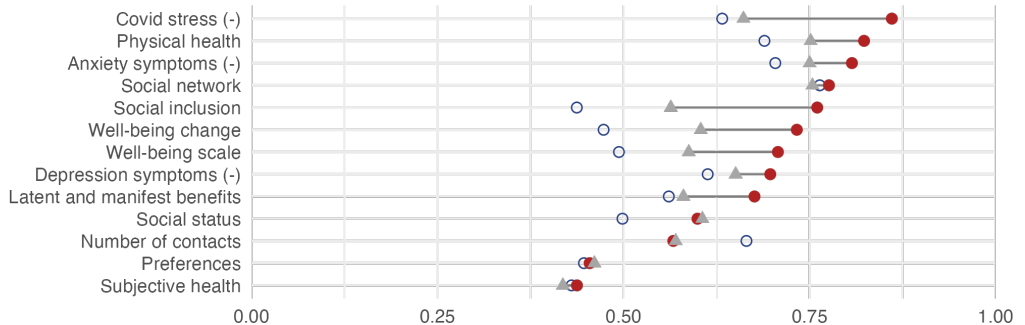
Outcomes for 2021

Group 1 (treated), Group 2 (control), and Control towns.



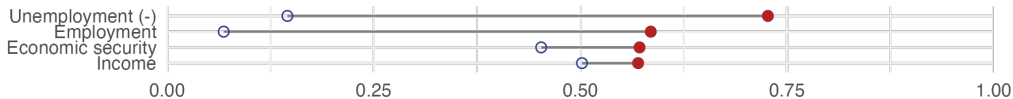
Outcomes for 2021

Group 1 (treated), Group 2 (control), and Control towns.



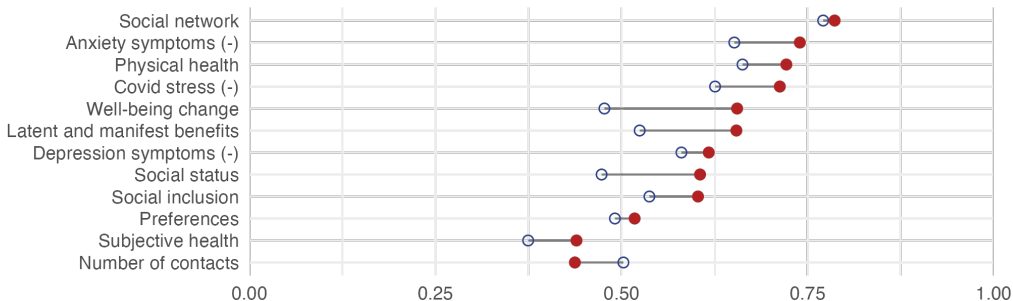
Outcomes for 2022

Gramatneusiedl (all treated), and Control towns.



Outcomes for 2022

Gramatneusiedl (all treated), and Control towns.



Empirical findings: Basic income

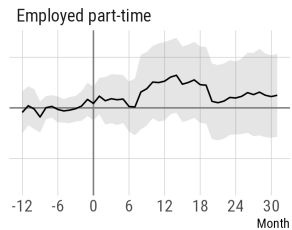
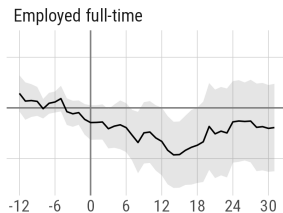
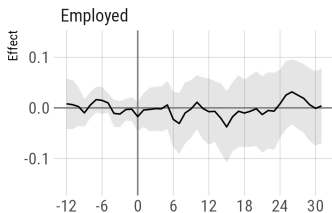
- **Employment:**

- No impact on employment levels or job transitions.
- Small (statistically insignificant) shift toward part-time work.
- Excess burden of approximately 7.5% of transfer amount.

- **Mental Health:**

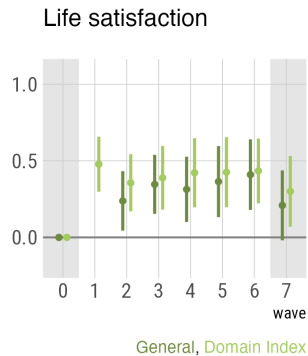
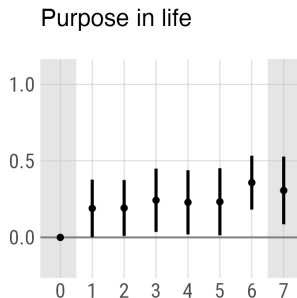
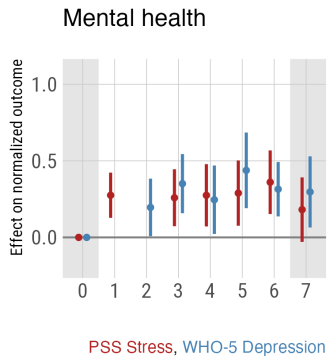
- Large and significant improvements in mental health and wellbeing.
- Enhanced perceived autonomy and personal agency.
- More time with friends, improved sleep quality.

Labor market outcomes



Outcome	Treated	Control	ATE	SE	t-stat	p
Government revenue						
Income tax	679.552	727.569	-48.017	38.572	-1.245	
SI contributions (employee + employer)	1221.703	1291.282	-69.579	56.094	-1.240	
Unemployment benefits	24.350	21.449	2.901	9.759	0.297	
Government Revenues	1876.784	1997.439	-120.656	96.464	-1.251	
Earnings and commute						
Employer costs	3685.289	3886.915	-201.625	167.694	-1.202	
Net earnings (excl. tax and SI)	1750.104	1833.531	-83.427	73.325	-1.138	
Distance to employer	21.615	27.555	-5.940	6.524	-0.910	
Extensive and intensive margin						
Employed	0.835	0.863	-0.029	0.029	-0.988	
Employed full-time	0.641	0.682	-0.040	0.038	-1.070	
Employed part-time	0.175	0.168	0.007	0.034	0.196	
Job transitions						
Initial employment	0.627	0.616	0.011	0.040	0.280	
New employer	0.208	0.248	-0.040	0.033	-1.205	

Mental health outcomes



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Summary: Job Guarantee

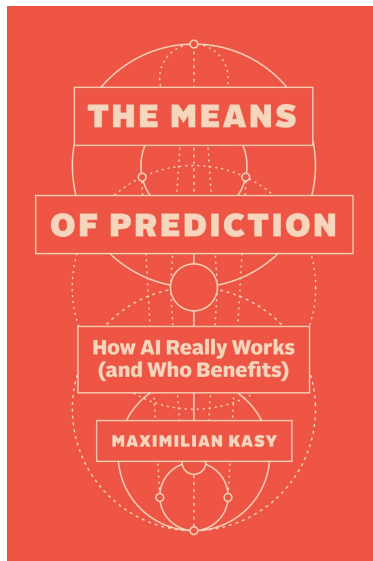
- **Near-universal uptake:** All offered jobs were accepted.
- **Economic gains:** Higher employment, income, and security.
- **Non-economic gains:** More structure, social contacts, collective purpose, and social status
- Municipality-level: **No** labor market **spillovers**.
- **Costs offset** by reduced benefits and higher participant incomes.
- Caveat for generalizability:
 - Is program scalable beyond the pilot?

Summary: Basic Income

- Significant improvements in **mental health, autonomy, and life satisfaction**
- No effect on **employment participation**
 - Small (insignificant) rise in part-time work, slight decline in hours.
- **Fiscal impact:** modest excess burden (7.5% of transfer value).
- Takeaway: Strong wellbeing benefits, limited labor market and fiscal effects.
- Caveats for generalizability:
 - Impact of taxes to finance UBI?
 - Time horizon and anticipation effects?
 - Equilibrium effects?

On a separate note: My new book on the politics and economics of AI

https:
//press.uchicago.edu/
ucp/books/book/chicago/
M/bo255887145.html



Thank you!